

China WFE: Fast-Growing Semi Deficit to Drive Strong WFE Capex

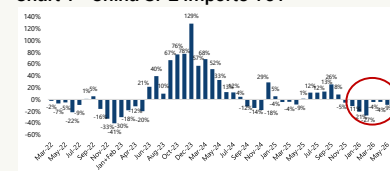
China's May SPE/WFE imports fell 9%/12%, but testing/packaging grew 25%/19%. Positively, WFE's fall is entirely driven by a 32% decline in etching, as deposition/ion implanting grew 12%/21%. Fall in etching is associated with a 28%/58% fall in WFE imports from Japan/Malaysia. YTD, WFE imports fell 12%, driven by 24%/18% fall in litho/etching, while imports from Japan/Netherlands dropped the most, by 28%/24%. We still expect 2026 WFE capex to fall LSD to MSD.

China's WFE imports fell 12% in May, worse than previous two months, but it is narrow-based. China's May SPE imports fell 9%, driven mainly by 12% decline in WFE. Packaging imports grew 8% YTD, the only category with positive growth. We highlighted before Huawei's "Tau" scaling law is based on advanced packaging, and China does not face any restrictions on packaging tools. Therefore, we expect this to be a strong growth area in the next 12-24 months. For WFE, even though the 12% fall in May is a deterioration from 6%/3% decline in Apr/Mar, we are encouraged that May's fall is narrow-based. It is almost entirely driven by a 24% fall in etching. Deposition and ion implanting grew 12% and 21%, respectively, while litho imports were flattish. YTD, WFE imports fell 12%, driven mainly by 24%/18% decline in litho/etching. Deposition and thermal YTD both grew 3%. We believe the YTD weakness is due to 1) CXMT slowing after big pull-in last year and likely waiting for any sign of relaxation of US restrictions and 2) decline in advanced logic due to pull in last year and very long delivery lead time of critical tools in the grey market. We remain confident of some demand recovery in 2H26, leading to low-single-digit (LSD) to mid-single digit (MSD) growth in WFE capex for the full year. We believe memory capex will be the key driver in 2H26.

Singapore has become the largest source of WFE imports for China. It is worth noting the 32% decline in May etching imports coincided with a 58%/28% fall, in WFE imports from Malaysia/Japan. We saw the same trend for the Apr data. It suggests etching tools that China buys are mainly coming from these two countries. YTD, imports of Japan and the Netherlands fell the most (24%/28%) while imports from Singapore and Taiwan rose 45% and 22%, respectively. In fact, Singapore and Taiwan are the only countries that show positive growth YTD for WFE imports into China. Singapore has overtaken Japan as the largest source of WFE imports into China (5M26), with a 25% import share. Japan ranked No. 2 with 23% share, while the Netherlands' share has fallen to No. 3 at 18%.

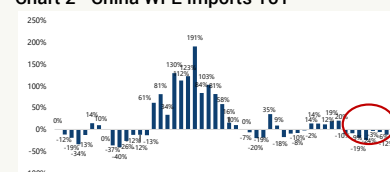
Rapidly rising semi trade deficit will drive strong long-term WFE capex growth. China's semiconductor imports grew 71% in May, a new high. Semiconductor imports have been accelerating sharply for five consecutive months, driven by, in our view, skyrocketing memory prices and rising demand for AI-related chips such as CPU, opticals, and high-end capacitors. Note semi imports from Korea rose 154% in May and 103% YTD. In May, Korea for the first time overtook Taiwan as the largest source of China's semi imports, with a 37% import share or ~US\$18bn. Our analysis shows China's 5M26 semi trade deficit grew 19% YoY to US\$99bn vs being flattish in the past three years. We see rapidly widening semi trade deficit as one of the biggest drivers of China's WFE capex growth. Moreover, China needs much more foundry capacity in mature nodes (for SRAM/PMIC/optics/power), advanced nodes (< 14nm, CPU/GPU/ADAS), and memory to support its efforts in AI, robotics, and electrification. Together with its WFE localization efforts due to US restrictions, Chinese WFE players are among our top picks in China tech.

Chart 1 - China SPE Imports YoY



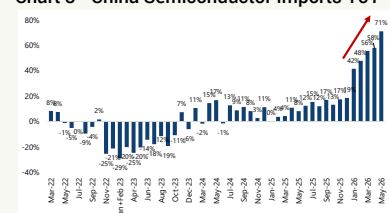
Source: China Customs, Jefferies

Chart 2 - China WFE Imports YoY



Source: China Customs, Jefferies

Chart 3 - China Semiconductor Imports YoY



Source: China Customs, Jefferies

Chart 4 - China Semi Trade Deficit



Source: China Customs, Jefferies

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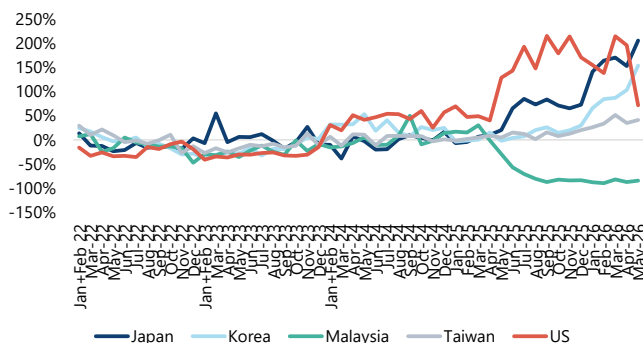
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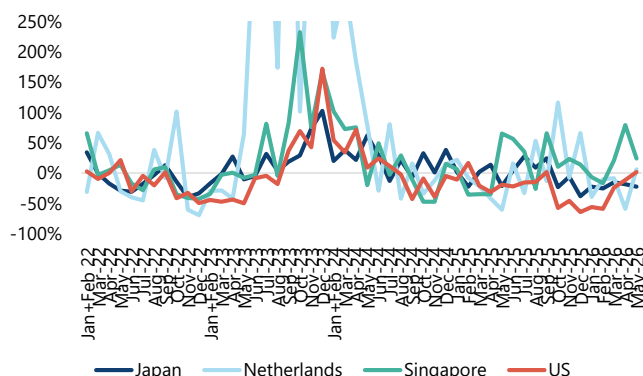
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Chart 5 - China Semiconductor Imports YoY



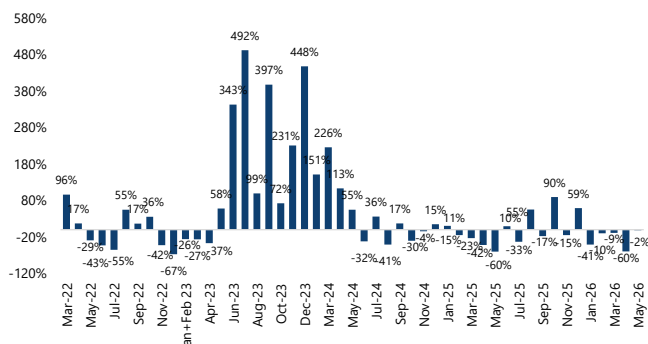
Source: China Customs, Jefferies

Chart 6 - China SPE Imports YoY



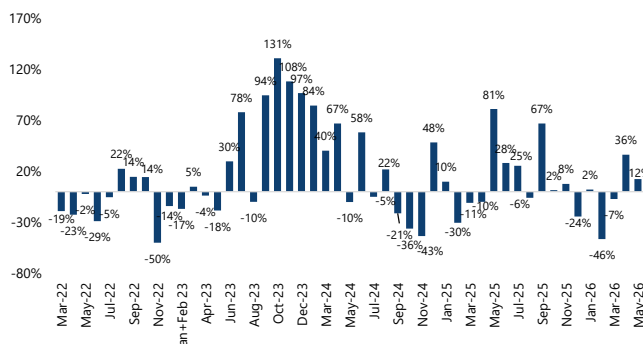
Source: China Customs, Jefferies

Chart 7 - China Lithography Equipment Imports YoY



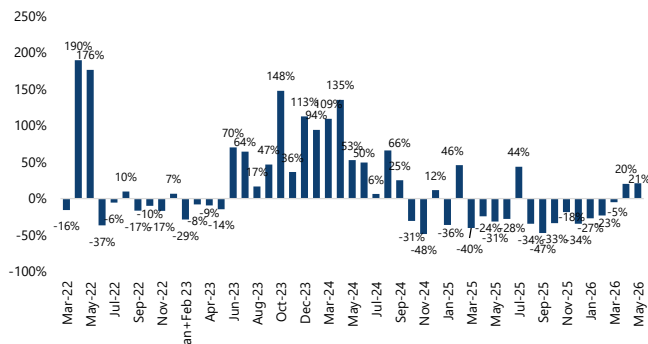
Source: China Customs, Jefferies

Chart 8 - China Deposition Equipment Imports YoY



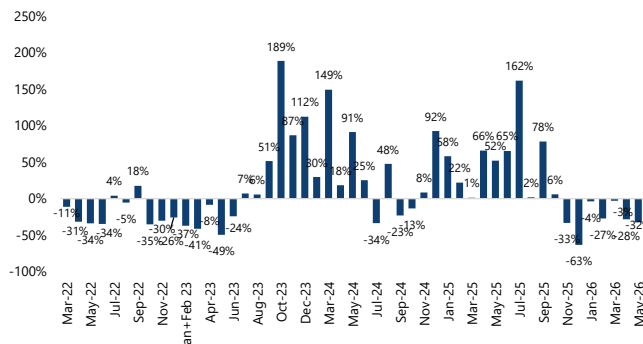
Source: China Customs, Jefferies

Chart 9 - China Ion Implanting Equipment Imports YoY



Source: China Customs, Jefferies

Chart 10 - China Etching Equipment Imports YoY



Source: China Customs, Jefferies

Table 1 - Quarterly SPE Imports by Key Countries (US\$m)

	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Germany	163	193	186	249	272	272	273	312	312	251	263	264	194	247	214	305	341	305	251	367	319	364	300	185	192	194	195	196
Israel	93	117	120	102	202	143	179	215	183	205	275	238	236	318	237	310	181	154	290	268	241	233	427	249	158	319		
Japan	1,544	1,788	1,688	1,912	2,292	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	2,112	
Korea	852	717	1,027	911	1,089	1,304	993	955	938	880	1,028	658	556	593	878	827	870	887	875	1,130	922	1,044	1,380	913	756	1,170		
Malaysia	224	268	348	336	210	212	277	458	272	458	272	458	272	458	272	458	272	458	272	458	272	458	272	458	272	458		
Netherlands	463	939	933	1,311	928	875	1,339	1,100	866	738	1,019	661	614	1,501	2,783	2,681	2,221	1,879	3,142	2,525	2,084	1,338	1,462	760	997	1,124		
Singapore	689	837	995	768	1,103	1,446	1,469	1,179	1,517	1,442	1,371	951	1,135	1,391	2,041	2,371	2,165	1,888	2,080	1,670	1,771	2,147	2,627	1,919	1,749	1,582		
Taiwan	344	374	402	444	461	613	672	628	635	648	625	611	512	549	580	548	440	899	897	683	680	578	776	375	743	1,388		
US	1,144	1,443	1,896	1,330	1,834	1,978	1,932	1,787	1,879	1,740	1,121	975	1,197	1,831	1,970	1,456	1,607	1,580	1,637	1,314	1,208	1,376	709	682	1,382			
Others	209	289	285	357	346	420	417	404	408	385	422	444	338	440	571	623	413	504	481	592	437	593	630	788	529	823		
Total (mUSD)	5,778	7,120	6,738	8,146	9,736	10,355	9,483	10,513	9,409	9,141	9,309	7,726	7,119	8,738	13,076	13,868	11,528	11,485	13,029	13,038	11,471	11,635	15,296	11,337	9,775	16,452		

Source: China Customs, Jefferies

Table 2 - Quarterly SPE Imports YoY by Key Countries

	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Germany	-21%	-23%	-40%	50%	67%	41%	47%	25%	-14%	-3%	-38%	6%	-19%	36%	74%	38%	43%	-18%	5%	-4%	19%	3%	4%	39%	42%			
Israel	156%	37%	32%	0%	116%	23%	49%	120%	4%	11%	54%	12%	20%	55%	-14%	31%	-21%	-52%	21%	1%	47%	-7%	54%	15%				
Japan	30%	40%	27%	11%	48%	72%	39%	30%	-20%	-27%	3%	-30%	-12%	4%	18%	63%	27%	35%	-2%	25%	-5%	0%	20%	-25%	-20%	-20%		
Korea	24%	-6%	27%	-4%	28%	82%	36%	5%	14%	12%	3%	-15%	-41%	-22%	24%	62%	3%	28%	16%	38%	14%	32%	29%	28%	15%			
Malaysia	246%	28%	7%	52%	70%	115%	89%	104%	77%	96%	64%	-29%	-61%	-40%	190%	188%	61%	-41%	-13%	87%	142%	274%	-7%	27%	-10%			
Netherlands	73%	135%	167%	-24%	208%	-3%	-40%	107%	-7%	-17%	-4%	-40%	-29%	106%	426%	307%	262%	25%	15%	-6%	-4%	-29%	-12%	54%	-21%	-23%		
Singapore	200%	25%	54%	6%	65%	73%	88%	206%	37%	0%	7%	-6%	-25%	-4%	40%	145%	91%	36%	2%	-20%	-18%	14%	20%	15%	-1%	20%		
Taiwan	-40%	-17%	7%	20%	34%	64%	60%	42%	38%	0%	-7%	0%	-18%	-15%	-6%	-13%	-13%	27%	43%	13%	55%	-17%	-7%	-10%	8%	18%		
US	95%	15%	27%	7%	36%	37%	12%	41%	-2%	0%	0%	-6%	-6%	-36%	5%	76%	47%	34%	-18%	-18%	-4%	-25%	-30%	-57%	-48%	10%		
Others	15%	8%	23%	33%	73%	46%	40%	13%	17%	-9%	4%	7%	-17%	14%	32%	44%	22%	15%	-16%	27%	7%	18%	27%	25%	-17%	-18%		
Total	42%	23%	13%	7%	52%	52%	12%	55%	15%	-12%	3%	-15%	-26%	-4%	30%	92%	61%	31%	0%	0%	-5%	3%	17%	-4%	-10%	-13%		

Source: China Customs, Jefferies

Table 3 - Quarterly SPE Imports by Key Product Categories (US\$m)

	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Wafer Fabrication	2,506	1,488	1,839	1,302	4,928	6,027	4,723	5,458	5,173	4,702	4,876	3,151	4,060	5,112	4,801	9,303	7,764	7,527	8,428	9,378	7,377	7,429	10,175	9,240	6,504	10,719		
Inspection & Testing	548	615	597	451	725	803	881	1,022	883	1,037	1,079	942	805	1,141	1,531	1,428	1,078	1,059	1,291	1,607	1,207	1,051	1,061	1,042	778	1,047		
Packaging	277	324	328	403	577	723	645	795	518	561	501	129	113	314	325	172	294	350	399	340	325	520	380	181	290	144		
Crystal Growth	189	226	212	231	249	389	444	468	533	580	435	397	449	425	445	443	472	265	426	321	420	325	439	426	271	463		
Others	1,406	1,448	1,236	1,768	1,798	1,897	2,079	2,137	1,907	1,882	1,768	1,291	1,105	1,265	1,390	1,107	1,267	1,312	1,311	1,461	1,477	1,517	1,992	1,490	1,146	2,136		
Total	4,913	4,883	4,799	5,335	6,591	6,441	6,511	7,793	7,222	6,883	6,814	4,218	479	584	826	684	712	715	830	862	782	612	735	511	833			
Total (mUSD)	5,778	6,784	7,702	6,738	9,736	10,355	9,483	10,513	9,409	9,141	9,309	7,726	7,119	8,738	13,076	13,868	11,528	11,485	13,029	13,038	11,471	11,635	15,296	11,337	9,775	16,452		

Source: China Customs, Jefferies

Table 4 - Quarterly SPE Imports YoY by Key Product Categories

	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	5M26
Water Filtration	59%	37%	31%	7%	70%	73%	23%	65%	3%	-22%	3%	-26%	-22%	10%	81%	138%	91%	46%	0%	0%	-5%	1%	13%	-1%	-14%	-12%
Insulation & Ventile	76%	10%	14%	-6%	32%	30%	48%	277%	22%	21%	4%	-6%	10%	42%	50%	34%	-7%	-14%	13%	12%	-1%	20%	34%	16%	15%	
Packaging	51%	41%	0%	56%	509%	124%	160%	61%	10%	-24%	-41%	-59%	-51%	-39%	13%	-6%	5%	12%	-8%	7%	-9%	0%	12%	-4%	8%	
Circuit Boarding	-18%	-11%	-28%	-27%	32%	72%	110%	500%	144%	-2%	-6%	-16%	11%	7%	11%	1%	-38%	-4%	-27%	-11%	23%	3%	13%	35%	35%	
Parts	65%	28%	58%	7%	28%	13%	-1%	22%	0%	-11%	-14%	-42%	-42%	-23%	-24%	22%	15%	24%	1%	-6%	17%	-3%	43%	2%	-4%	
Others	-34%	-22%	67%	-2%	1%	7%	-25%	7%	23%	14%	41%	-10%	-24%	-39%	-10%	114%	60%	49%	23%	1%	0%	10%	12%	12%	30%	
Total (BPS)	42%	23%	33%	7%	51%	53%	22%	55%	11%	-12%	-1%	-1%	-11%	-26%	-4%	89%	92%	61%	31%	0%	-1%	1%	17%	-4%	-18%	

Source: China Customs, Jefferies

Table 5 - Quarterly Semiconductor Imports by Key Countries (US\$m)

Region	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	5M26
Germany	288	251	346	378	435	441	458	474	409	475	584	495	362	504	405	400	367	422	500	457	482	780	1,623	1,694	1,688	2,959
Israel	794	774	699	723	580	719	859	1,103	1,380	1,149	1,057	964	824	845	995	1,394	912	914	1,265	1,387	1,234	1,605	4,280	3,558	3,723	5,043
Japan	1,938	1,662	1,708	1,504	1,773	1,634	1,586	1,536	1,287	1,299	1,604	1,660	1,675	1,618	1,333	1,384	1,499	1,777	1,770	1,721	1,805	9,817	11,064	10,064	20,936	
Russia	14,858	14,238	15,046	14,610	14,460	14,937	15,163	15,559	12,500	10,157	12,401	14,637	14,434	15,967	17,084	18,468	19,285	21,343	20,544	22,876	18,393	22,560	24,176	27,827	34,950	
Malaysia	6,801	7,800	8,163	7,534	7,245	8,616	8,087	9,788	7,904	7,513	7,296	6,842	5,507	5,487	5,628	6,052	4,684	5,217	6,501	5,702	5,582	1,237	1,007	789	1,162	
Netherlands	14	18	17	17	20	21	27	18	25	22	21	15	15	17	24	17	26	33	34	31	38	64	114	105	111	
Singapore	1,451	1,483	1,763	1,880	1,747	1,650	1,907	1,988	1,813	1,593	1,984	1,673	1,185	1,275	1,464	1,057	1,393	1,651	2,003	1,964	1,712	2,049	3,189	3,184	3,917	7,149
Taiwan	21,034	27,565	36,064	37,405	32,432	37,112	43,355	40,146	39,042	38,936	30,999	31,934	35,802	37,220	30,512	32,016	38,662	37,874	31,028	36,066	42,502	42,947	42,533	76,146		
US	3,368	3,677	3,880	3,824	4,007	4,136	3,962	3,446	3,111	3,014	3,012	3,084	3,894	2,014	2,147	2,201	2,408	2,949	3,126	3,112	3,197	6,112	9,173	9,504	10,017	17,703
Others	9,595	10,541	11,811	11,819	11,877	11,931	12,025	11,430	12,175	12,174	11,115	8,076	9,108	10,293	11,216	9,428	9,455	10,081	10,206	8,115	7,175	5,823	5,834	4,319	7,326	
Total (BPS)	61,902	72,946	85,000	87,281	85,646	99,138	99,160	101,692	91,429	80,400	86,620	87,020	68,706	71,901	58,876	63,817	73,127	73,302	87,666	90,008	75,711	87,614	100,712	109,817	111,641	207,605

Source: China Customs, Jefferies

Table 6 - Quarterly Semiconductor Imports YoY by Key Countries

	1Q20	2Q20	3Q20	4Q20	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	6M26
Germany	-14%	-24%	-13%	13%	51%	14%	12%	20%	-6%	8%	20%	-4%	-11%	6%	-11%	-10%	1%	-16%	21%	14%	26%	73%	214%	271%	201%	262%
Israel	1729%	134%	24%	-5%	-17%	-1%	23%	53%	84%	63%	23%	-13%	-23%	-28%	-4%	15%	10%	9%	21%	26%	35%	290%	256%	157%	161%	51%
Japan	8%	14%	-7%	5%	21%	23%	17%	17%	4%	-10%	-12%	-11%	15%	7%	-6%	5%	-21%	-6%	-6%	-1%	15%	87%	70%	559%	569%	
Korea	3%	0%	14%	15%	24%	29%	21%	30%	22%	0%	-6%	-26%	-35%	-24%	-24%	-1%	12%	34%	20%	24%	-2%	6%	18%	22%	79%	101%
Malaysia	2%	0%	-1%	0%	7%	10%	14%	20%	8%	-11%	-10%	-20%	-20%	-27%	-22%	-12%	-11%	-1%	26%	1%	22%	-11%	81%	44%	40%	40%
Netherlands	18%	5%	-1%	-14%	19%	15%	17%	10%	20%	0%	-11%	-42%	-24%	12%	9%	6%	-26%	-40%	23%	16%	90%	103%	443%	817%	508%	
Singapore	-3%	-9%	-10%	1%	20%	11%	8%	0%	3%	-4%	-4%	-16%	-35%	-20%	-20%	-1%	17%	32%	37%	10%	24%	22%	58%	70%	110%	111%
Taiwan	11%	22%	32%	31%	63%	11%	17%	17%	12%	8%	0%	-11%	-24%	-18%	-12%	-4%	0%	1%	4%	2%	10%	10%	13%	17%	17%	
US	-1%	10%	-2%	12%	20%	18%	17%	-10%	-22%	-11%	-24%	-11%	-39%	-32%	-39%	-27%	27%	46%	50%	47%	55%	107%	104%	107%	143%	
Others	30%	30%	18%	16%	20%	12%	3%	2%	2%	-7%	-29%	-24%	-16%	3%	17%	8%	-2%	0%	-14%	-24%	-44%	-15%	-46%	-44%	-44%	
Total	12%	14%	16%	19%	28%	24%	10%	19%	14%	0%	-5%	-10%	-20%	-21%	-17%	-8%	7%	10%	11%	7%	8%	10%	13%	10%	49%	56%

Source: China Customs, Jefferies

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(Article 3(1)e and Article 7 of MAR)

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